

**Small Claim Form for Informal Adjudication
and Information Checklist**

Federal Maritime Commission, Washington, DC.

Informal Docket No. 1999(I)



WCG Group, LLC dba Aitoh Co.

(Claimant)

vs.

Chris Phillips, and Paul Knott

(Respondent)

I. The claimant WCG Group, LLC (assumed name Aitoh Co.), is a Limited Liability Company formed in Texas and domesticated in Arkansas. Members of WCG Group, LLC dba Aitoh Co., hereunder simply referenced as Aitoh, are Beth Wild (President and Managing Director, 51% ownership), Paul Carpenter Van Pelt (Managing Member, 25% ownership), and Carlo Galotto (Managing Member, 24% ownership). Aitoh is a wholesaler of decorative paper, origami and other art supplies imported from Asia, mainly Japan but also India, Nepal, and China. Aitoh is located at 2720 Mountain Pine Rd. Hot Springs Arkansas 71913.

II. The respondent Chris Phillips is the owner of InXpress Hudson Valley NY, also known as InXpress NY, Inc. InXpress NY is a corporation (source govcb.com) doing business in the global shipping and logistics industry mainly providing forwarding service. The respondent Paul Knot is the CEO at InXpress Americas. The franchisor of both respondents is InXpress Holding, LDT (aka InXpress Global, LTD).

i. Chris Phillips

ii. InXpress NY, Inc.

iii. 16 Robin Ln, Wappingers Falls, NY 12590; chris.phillips@inxpress.com

iv. Paul Knot

v. InXpress Americas (unknown entity type)

vi. 10619 S Jordan Gateway, South Jordan, UT 84095; paul.knott@inxpress.com

III. Matters giving rise to the claim.

Both InXpress Americas Paul Knott and InXpress NY Chris Phillips, did not reply to reasonable and legit inquiries about the claim, they just ignored us. The reticence in the disclosure of information leads us to allege that there are violations of the Shipping Act. In particular:

- A. Due to the nature of the accident occurred to the Vessel ONE APUS 006E/W on Nov 30, 2020 /Ref 01/, we were advised by Foreign Container Line and Ocean Network Express and InXpress NY that, before to make an evaluation of the containers lost and/or damaged, there was the need to first safely berth the vessel to the port and perform an inspection of the vessel and its remaining cargo /Ref 01.a/, /Ref 01.b/.

This is the only formal update about the status of our cargo. Since we never received a written and formal communication if our cargo was damaged or lost in the sea, we are wondering if the parties involved failed to follow reasonable practices and regulations connected with receiving, handling, storing, or delivering properties - Section 41102 (c)

- B. As far as we know, the parties involved in the shipment (InXpress NY, Ex-Freight, Foreign Container Line, and Ocean Network Express), could have agreed to intentionally ignore or unjustly settle the claim with the insurance for reasons we do not know but we can reasonably suspect was prohibited under the Shipping Act and in particular under the Section 41104(a)(4)(E), 41104(a)(12).
- C. Due to the lack of information, it is extremely difficult to formulate alleged violations without further investigation. The lack of information itself provided by InXpress Americas, InXpress NY, Ex-Freight and Ocean Network Express and their unreasonable refuse to provide any update on the status of claim, is per se a violation of the Shipping Act when the investigation is conducted by FMC Section 41103(b)(2) and Section 41108(c).

IV. N/A.

V. The following are applicable:

- §41102(c)
- §41104(a)(4)(E)
- §41104(a)(12)
- §41103(b)(2)
- §41108(c)

VI. As wholesaler/importer of art supplies (in particular decorative paper) from India and Japan, Aitoh relied on InXpress NY for the freight of a cargo from India via Ocean. The vessel ONE APUS was hit by a thunderstorm on Nov 30th, 2020 /Ref 01/. The ship flooded and, apparently, we lost the goods. Freight \$1,929.94 and goods \$6,807 were prepaid. Despite the cargo was insured, we have never been contacted by the Ocean Freight Forwarder (Ex-Freight Zeta Inc.) regarding the claim that supposedly was submitted by Chris Phillis on March 2021 /Ref 02.b/. We tried to get weekly/monthly updates, both via e-mail and by phone, from Chris without any success other than "*the claim was submitted*". For several months, almost a year, Beth Wild periodically inquired via e-mail and by phone for an update on the status of the claim without success. The replies from InXpress NY were always assuring the claim was submitted (with Ex-Freight) and they were waiting for updates from the insurance company. At the end of the Summer 2021, Paul Carpenter made a conference call with Chris Phillis in the attempt to get an update on the status of Aitoh's claim /Ref 02.g/. Despite the follow-up was to provide unsolicited periodic updates, communications with Chris Phillis became even more sporadic and at the beginning of 2022 stopped. During 2022 we changed freight forwarder for our land/ocean shipments. In Feb 2023, since communications with Chris Phillips were completely broken, we re-submitted the claim with Ex-Freight via e-mail, highlighting the fact that the claim itself was presumably a duplicate of an existing claim /Ref 05/. Likely our attempt to trigger a reaction was misunderstood by Ex-Freight because their reply was simply that the claim was not filed in time. Then we decided to escalate the issue by contacting Paul Knot via the assistant Cicily Cirillo but, after a couple of e-mails

assuring they were "*investigating*", they stopped replying to our inquiries /Ref 02.a/

Both Chris Phillips and Paul Knot just did not reply to reasonable and legit inquiries about the claim that was filed as per agreement by InXpress NY on Aitoh behalf. The reticence in the disclosure of information leads us to allege that there were violations of the Shipping Act.

In 2023 we filed complaints with Federal Trade Commissions (ReportFraud.ftc.gov), Attorney General NY Poughkeepsie Regional Office, and BBB New York, but unfortunately also in these cases we were not able to get any useful information to be used to pursue our right to know the status of our claim and if it was denied why, and to verify if the regulations and practices under the Shipping Act were observed.

VII. The undersigned authorizes the Settlement Officer to determine the above-stated claim pursuant to the informal procedure outlined in subpart S (46 CFR 502.301-502.305) of the Commission's informal procedure for adjudication of small claims subject to discretionary Commission review.

Attached bill of lading, copies of correspondence or other documents in support of claim.

(Date) 11/27/23

(Claimant's signature) Carlo Galotto on behalf of WCG Group, LLC

(Claimant's address) 2720 MOUNTAIN PINE RD, HOT SPRINGS AR 71913

(Signature of agent or attorney) _____

(Agent's or attorney's address) _____

VERIFICATION

State of Arkansas, County of Garland, ss: _____,
being first duly sworn on oath deposes and says that he or she is Carlo Galotto / Managing member
PRINTED NAME / TITLE

Carlo Galotto, with full capacity to represent the claimant as Managing Member, is the person who signed the foregoing claim; he has read the foregoing and that the facts set forth without qualification are true and that the facts stated therein upon information received from others, believes to be true.

Subscribed and sworn to before me, a notary public in and for the State of Arkansas, County of Garland, this 27th day of November, 2023. (Seal)

Megan Burrow
(Notary Public)

My Commission expires, 2/6/32

